

HOUSING FINANCE

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Housing
Finance

Turning dreams into homes

QUARTERLY FINANCIAL STATEMENTS AND OTHER DISCLOSURES FOR THE PERIOD ENDED 31 MARCH 2009

I. BALANCE SHEET

A. ASSETS

1. Cash and bank balances	349,079	113,321	96,847	349,032	113,318	96,847
2. Balances due from Central Bank of Kenya	-	-	-	-	-	-
3. Government securities	472,728	478,594	473,181	472,728	478,594	473,181
4. Foreign Currency Treasury bills and bonds	-	-	-	-	-	-
5. Deposits and balances due from banking institutions	1,437,939	2,659,178	2,516,261	1,437,939	2,659,165	2,516,261
6. Deposits and balances due from banking institutions abroad	-	-	-	-	-	-
7. Government and other securities held for dealing purposes	-	-	-	-	-	-
8. Tax recoverable	-	15,615	-	-	-	-
9. Loans and advances to customers (net)	8,283,288	10,418,665	11,285,633	8,283,288	10,418,665	11,285,633
10. Investment securities	-	-	-	-	-	-
11. Balances due from group companies	-	-	-	-	-	-
12. Investment in associates	-	-	-	-	-	-
13. Investment in subsidiary companies	-	-	-	130,020	130,020	130,020
14. Investment in Joint ventures	-	-	-	-	-	-
15. Investment properties	-	-	-	-	-	-
16. Property and equipment	357,477	349,856	343,425	351,195	343,630	337,218
17. Prepaid operating lease rentals	50,384	49,900	49,741	42,980	42,632	42,518
18. Intangible assets	25,362	9,620	6,865	25,278	9,550	6,799
19. Deferred tax asset	62,277	65,022	65,024	9,670	11,804	11,804
20. Retirement benefit asset	-	-	-	-	-	-
21. Other assets	206,636	134,597	140,270	187,433	123,118	131,178
22. TOTAL ASSETS	11,245,170	14,294,368	14,977,247	11,289,563	14,330,496	15,031,459

B. LIABILITIES

23. Balances due to Central Bank of Kenya	-	-	-	-	-	-
24. Customer deposits	9,442,421	10,063,830	10,615,587	9,457,474	10,088,797	10,633,693
25. Deposits and balances due to local banking institutions	-	-	-	-	-	-
26. Deposits and balances due to foreign banking institutions	-	-	-	-	-	-
27. Other money market deposits	-	-	-	-	-	-
28. Borrowed funds	150,000	400,000	400,000	150,000	400,000	400,000
29. Balances due to group companies	-	-	-	18,334	20,997	20,578
30. Tax payable	4,587	-	5,750	24,386	4,995	26,359
31. Dividends payable	-	-	-	-	-	-
32. Deferred tax liability	-	-	-	-	-	-
33. Retirement benefit liability	-	-	-	-	-	-
34. Other liabilities	183,027	178,122	255,911	163,053	154,401	239,672
35. TOTAL LIABILITIES	9,780,035	10,641,952	11,277,248	9,813,247	10,669,190	11,320,302

C. SHAREHOLDERS' FUNDS

36. Paid up capital	575,000	1,150,000	1,150,000	575,000	1,150,000	1,150,000
37. Share premium	25,705	1,549,173	1,549,173	25,705	1,549,173	1,549,173
38. Revaluation reserve	193,418	193,418	193,418	193,418	193,418	193,418
39. Retained earnings	164,153	159,272	195,000	175,334	168,162	206,158
40. Statutory Loan Loss Reserve	427,359	480,803	492,658	427,359	480,803	492,658
41. Proposed dividends	28,750	69,000	69,000	28,750	69,000	69,000
42. Capital grants	50,750	50,750	50,750	50,750	50,750	50,750
43. TOTAL SHAREHOLDERS' FUNDS	1,465,135	3,652,416	3,699,999	1,476,316	3,661,306	3,711,157
44. TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS	11,245,170	14,294,368	14,977,247	11,289,563	14,330,496	15,031,459

1. INTEREST INCOME

1.1 Loans and advances	233,198	1,085,605	336,114	233,198	1,085,605	336,114
1.2 Government Securities	7,934	31,733	8,385	7,934	31,733	8,385
1.3 Deposits and Placements with banking institutions	26,929	202,070	55,324	26,925	201,938	55,324
1.4 Other interest income	-	-	-	-	-	-

1.5 Total interest income

2. INTEREST EXPENSES

2.1 Customers' Deposits	93,913	439,862	117,917	94,919	439,862	117,961
2.2 Deposits and placements from banking institutions	139	-	-	139	-	-
2.3 Other interest expenses	1,047	48,828	10,565	1,047	48,828	10,565
2.4 Total interest expenses	95,099	488,690	128,482	96,105	488,690	128,526

3. NET INTEREST INCOME

4. OTHER OPERATING INCOME

4.1 Fees and commissions on loans and advances	15,410	74,991	18,563	15,410	74,991	18,563
4.2 Other fees and commissions	21,819	92,380	18,636	16,852	73,941	18,636
4.3 Foreign exchange trading income	-	-	-	-	-	-
4.4 Dividend income	-	-	-	-	-	-
4.5 Other income	11,749	46,253	13,750	10,770	45,484	11,278

4.5 Total Non interest income

5. TOTAL OPERATING INCOME

6. OPERATING EXPENSES

6.1 Loan loss provision	21,623	98,747	42,228	21,623	98,747	42,228
6.2 Staff costs	100,425	393,747	110,281	98,854	385,998	108,312
6.3 Directors emoluments	1,490	30,669	1,500	1,490	30,669	1,500
6.4 Rental charges	2,749	11,494	2,702	2,750	11,494	2,702
6.5 Depreciation on property and equipment	7,384	33,222	11,917	7,320	33,147	8,175
6.6 Amortisation charges	5,327	21,977	3,742	5,323	21,774	3,674
6.7 Other operating expenses	55,833	251,816	80,972	54,269	247,367	81,968
6.8 Total Other Operating Expenses	194,831	841,672	253,342	191,629	829,196	248,559

7. Profit before tax and exceptional items

8. Exceptional items

9. Profit before tax but after exceptional items

10. Current tax

11. Deferred Tax

12. Profit After Tax and exceptional items

1. Non-Performing Loans and Advances

a) Gross non-performing loans and advances	2,457,886	2,096,801	1,933,770	2,457,886	2,096,801	1,933,770
b) Less: Interest in Suspense	1,059,917	894,898	762,258	1,059,917	894,898	762,258
c) Total non-Performing loans and advances (a-b)	1,397,969	1,201,903	1,171,512	1,397,969	1,201,903	1,171,512
d) Less: Loan loss provisions	401,620	376,079	394,053	401,620	376,079	394,053
e) Net non-performing loans and advances(c-d)	996,349	825,824	777,459	996,349	825,824	777,459
f) Discounted value of securities	996,349	825,824	777,459	996,349	825,824	777,459
g) Net Exposure(e-f)	-	-	-	-	-	-

2. Insider loans and advances

a) Directors, shareholders and associates

b) Employees

c) Total insider Loans and Advances

3. Off-Balance Sheet items

a) Letters of credit, guarantees and acceptances

b) Other contingent liabilities

c) Total contingent liabilities

4. Capital Strength

a) Core capital

b) Minimum Statutory Capital

c) Excess/Deficiency

d) Supplementary capital

e) Total capital (a+d)

f) Total risk weighted assets

g) Core capital /Total deposit liabilities

h) Minimum Statutory Ratio

i) Excess/Deficiency

j) Core capital /Total risk weighted assets

k) Minimum Statutory Ratio

l) Excess/Deficiency (j-k)

m) Total capital /Total risk weighted assets

n) Minimum Statutory Ratio

o) Excess/Deficiency (m-n)

5. Liquidity

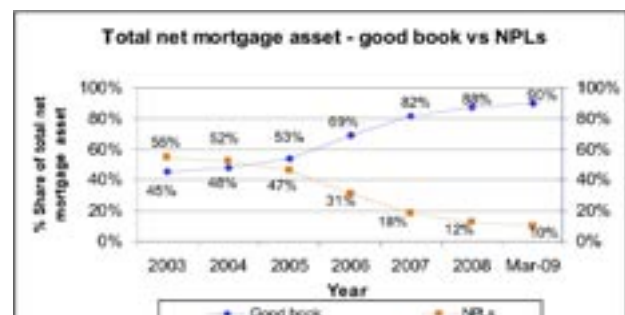
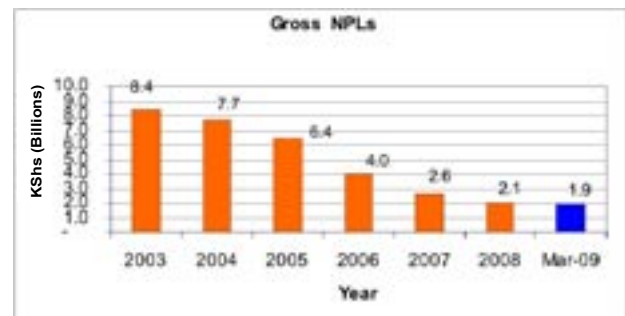
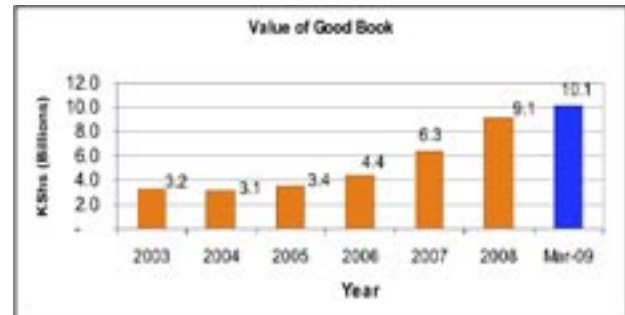
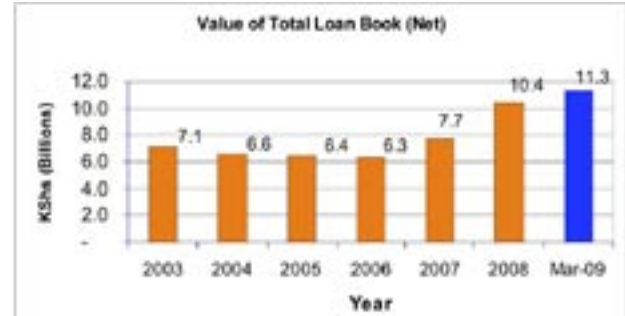
a) Liquidity Ratio

b) Minimum Statutory Ratio

c) Excess(Deficiency) (a-b)

II. INCOME STATEMENT

III. DISCLOSURES



The above Profit & Loss and Balance Sheet are extracts of the financial statements and records of the company and its subsidiaries.

Kung'u Gatabaki - Chairman
David Ansell - Director
Frank Ireri - Managing Director.

Housing Finance was, during the 2009 Banking Awards, honored for being the



Best Bank in Mortgage Finance

and for the



Best Bank in Product Innovation.

The award for Product Innovation was given in recognition of the Makao Product. Makao is a convenient building solution from Housing Finance that aims to help you build your home cost-effectively. In this unique product, Housing Finance has brought together a consortium of professionals in the construction industry - Architects, Project Managers, Quantity Surveyors, Structural engineers, Legal Advisors, Services Engineers and Contractors - who will work together to ensure the complete delivery of your preferred home. With Makao, all you need to provide, is your piece of land and Housing Finance will do the rest. Makao has just launched a house for just 1 million.

Housing Finance, continuously striving to Turn Dreams into Homes.